

102	Afakori v. Balfour Beatty Construction LLC 2025-01511251	DEMURRER TO COMPLAINT – OVERRULED Plaintiff Afakori Inc. dba AAF Steel Structural (“Plaintiff”) sued Defendant Balfour Beatty Construction, LLC (“Defendant”) for breach of a construction subcontract. (ROA #2) Defendant demurs to the complaint on the grounds that (1) Plaintiff lacks standing to assert the causes of action alleged and (2) judicial estoppel bars the causes of action. In 2024, Plaintiff filed Chapter 11 bankruptcy. Defendant contends the claims asserted in this case were never identified as assets in the BK matter and were never abandoned by the BK trustee, meaning the BK trustee is the proper plaintiff in this case. “ ‘As a general matter, upon the filing of a petition for bankruptcy, “all legal or equitable interests of the debtor in property” become the property of the bankruptcy estate and will be distributed to the debtor’s creditors. [Citation].’ ” (M & M Foods, Inc. v. Pacific American Fish Co., Inc. (2011) 196 Cal.App.4th 554, 561.) “ ‘In the context of bankruptcy proceedings, it is well understood that “a trustee, as the representative of the bankruptcy estate, is the real party in interest, and is the only party with standing to prosecute causes of action belonging to the estate once the bankruptcy petition has been filed.” [Citation].’ ” (Id. at p. 562.) “ ‘An outstanding legal claim that is abandoned by the trustee reverts back to the original debtor-plaintiff.’ ” (Id. at p. 563.) “But property not formally scheduled in the bankruptcy proceeding is not abandoned at the close of the bankruptcy proceeding, even if the trustee was aware of the existence of the property.” (Ibid.) “Although there are ‘no bright-line rules for how much itemization and specificity is required,’ [the debtor] was required to be as particular as is reasonable under the circumstances.” (Id. at p. 564.) In M & M Foods, M & M’s asset disclosure referenced M & M’s personal property as including “interest in collections obtained on outstanding accounts receivable from former business activities.” The court held that M & M had no standing to assert its causes of action for
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\$700,000 accounts receivable because its “asset disclosure schedule did not mention Pacific American, M & M, or the asset purchase agreement, much less the accounts receivable Pacific American was obligated to collect on behalf of M & M under that agreement.” (Ibid.)

The present case is factually distinguishable. The summary of assets and liabilities identifies an account receivable over 90 days old in the face amount of \$715,625. (ROA #19, ex. 2) This is sufficient. Although Defendant argues “The schedules did not identify Balfour Beatty, the Project, the Subcontract, the alleged escalation amounts, any disputed contract balance, or any contingent, unliquidated, or disputed right to payment tied to the Project. Nor did the schedules list any pending or potential litigation, breach of contract claim, or account receivable traceable to Balfour Beatty.” (ROA #21 p. 5) The preprinted US government form, however, does not require such detail (nor does it provide space for such detail or invite attachments where such detail might be included. (See Cusano v. Klein (9th Cir. 2001) 264 F.3d 936.)

The court finds Defendant has not established Plaintiff’s lack of standing.

Defendant argues that Plaintiff is judicially estopped from pursuing its claims against Defendant because its failure to disclose any dispute with Defendant is directly inconsistent with its position in this litigation.

Plaintiff argues that judicial estoppel does not apply because there was no plan or discharge in the bankruptcy action and there is no evidence that Plaintiff acted in bad faith.

“Judicial estoppel . . . ‘applies to preclude a party from assuming a position in a legal proceeding inconsistent with one previously asserted[.]’ ” (Hamilton v. Greenwich Investors XXVI, LLC (2011) 195 Cal.App.4th 1602, 1609.) Defendant argues that Plaintiff took directly inconsistent positions in its bankruptcy case and in this litigation by not disclosing any dispute with Defendant, contingent or unliquidated claims arising

		from the subcontract, any accounts receivable tied to the project, or any potential litigation rights whatsoever. As with above, this argument fails because the Court finds that Plaintiff provided sufficient specificity regarding the accounts receivable related to Defendant. Defendant to file an answer to the complaint within 20 days. Defendant to give notice.
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104	Esteban v. Urth Payroll Services, 2025-01511289	DEFENDANT URTH PAYROLL SERVICES' MOTION TO COMPEL ARBITRATION – GRANTED DEFENDANT VASQUEZ'S MOTION TO JOIN MOTION TO COMPEL ARBITRATION – GRANTED Plaintiff Alejandro Esteban was employed by Defendant Urth as a barista, busboy, and food server. Defendant Vasquez is employed in the human resources department by Urth. Plaintiff alleges discrimination claims under FEHA, as well as wage and hour violations. On January 13, 2023, Esteban signed an arbitration agreement (which was provided to him in English and Spanish). Defendants contend this court should compel arbitration of Esteban's claims based on the arbitration agreement. On a motion to compel arbitration, the court's role is limited to deciding: "(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute." (Brennan v. Opus Bank (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; Dean Witter Reynolds, Inc. v. Byrd (1985) 470 U.S. 213, 218 ["By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to
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